

LOTUS INFRASTRUCTURE PARTNERS

Infrastructure PE Interview Cheat Sheet

1. FIRM INTELLIGENCE

About Lotus Infrastructure Partners

- Formerly Starwood Energy Group (rebranded 2023)
- Founded: 2005 | HQ: Greenwich, CT | AUM: \$3B+
- Focus: North American power and energy infrastructure

Investment Thesis

- Target contracted and regulated assets with visible cash flows
- Focus on energy transition enabling infrastructure
- Typical hold: 5-10 years | Target: Mid-teens IRR, 1.8-2.5x MOIC

2. ASSET CLASS QUICK REFERENCE

Asset Type	Revenue Model	Typical Leverage	Key Risk
CCGT	Energy + Capacity	40-50%	Spark spread
Peaker	Capacity (60%+)	25-35%	Dispatch hours
Solar+BESS	PPA + Arbitrage	30-40%	Degradation
Transmission	Regulated tariff	55-65%	Regulatory
Midstream	Fee × Volume	25-35%	Volume decline

3. KEY FORMULAS

Generation Calculations

CCGT: Generation = Capacity × CF × 8,760

Peaker: Generation = Capacity × Dispatch Hours × Availability (NOT CF × 8,760!)

UCAP = Capacity × (1 - Forced Outage Rate)

Revenue Calculations

Energy Revenue (\$mm) = Generation × Price / 1,000,000

Capacity Revenue (\$mm) = UCAP × \$/kW-yr × 1,000 / 1,000,000

Fuel Cost (CRITICAL)

Fuel (\$mm) = Generation × Heat Rate × Gas Price / 1,000,000,000

Quick check: Variable cost ≈ Heat Rate × Gas / 1,000 (\$/MWh)

4. DEBT MECHANICS

Sweep vs Sculpt Decision

- CFADS predictable/contracted → Use SCULPTED (size DS to target DSCR)

- CFADS volatile/merchant → Use SWEEP (prepay excess cash)

DSRA Mechanics

- Target = NEXT year's DS × (DSRA Months / 12)
- Funding = Target - Beginning (positive = fund, negative = release)

5. COMMON MISTAKES TO AVOID

Mistake	Correct Approach
Fuel cost divisor wrong	Divide by 1e9, not 1e6
Peaker uses CF × 8,760	Use Dispatch Hours × Availability
Capacity price per MW	Price is per kW - multiply by 1,000
DSRA uses current year DS	Target = NEXT year DS
Exit equity = Exit EV	Exit equity = EV - Debt + DSRA

6. REGIONAL MARKET QUICK REFERENCE

Market	Structure	Key Dynamic	Interview Question
PJM	Capacity (RPM)	3-yr forward visibility	How underwrite cap prices?
ERCOT	Energy-only	\$9K scarcity pricing	Why no capacity market?
CAISO	Capacity (RA)	Duck curve opportunity	Explain duck curve
NYISO	Capacity (ICAP)	Zone J premium (2-3x)	What drives Zone J?
MISO	Voluntary cap	Wind-rich, weak cap	Why low cap prices?
ISO-NE	Capacity (FCM)	Winter gas spikes	Mystic reliability?

7. 4-HOUR BUILD SEQUENCE

Hour 1: Read materials, set up structure, input assumptions, start operating model

Hour 2: Complete operating model, cash flow, debt schedule

Hour 3: DSRA, waterfall, S&U, returns, sanity checks

Hour 4: Fix errors, sensitivities, IC memo, final review

8. QUICK REFERENCE CARD

Standard Assumptions

Leverage: 30-60% | Interest: 5-8% | DSRA: 6 months | Tax: 25%

Depreciation: 15-20 yrs SL | Exit Multiple: 6-8x EBITDA

Red Flag Outputs

DSCR < 1.25x | IRR < 10% or > 35% | MOIC < 1.5x | Debt > 50% at exit

Unit Conversions

1 MW = 1,000 kW | 1 MWh = 1,000 kWh | 8,760 hours/year

1 mmBtu = 1,000,000 Btu | 1 Bcf = 1,000 MMcf

Good luck! Remember: accuracy > speed. A working model beats a complex model with errors.